Service Charge Budget

The Grange

Landlord:	**The Bank Of England**
Property address:	**Priory Road** **Roehampton** **London**
Service Charge Year:	**25/03/2023** - **24/03/2024**



Client : The Bank Of England.
Property : Priory Road.

Service Charge Budget for the period: **25/03/2023 - 24/03/2024**

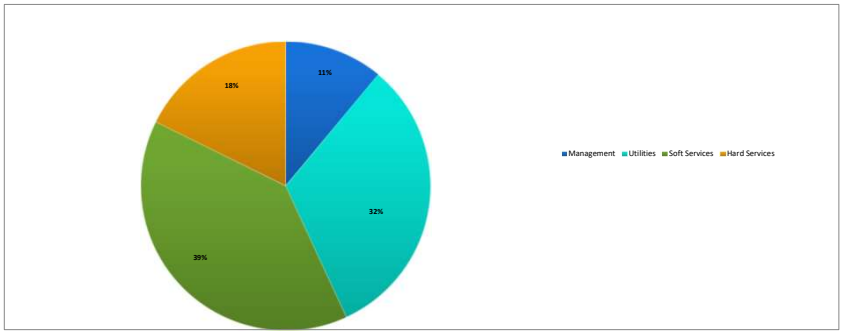
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Summary Service Charge Budget

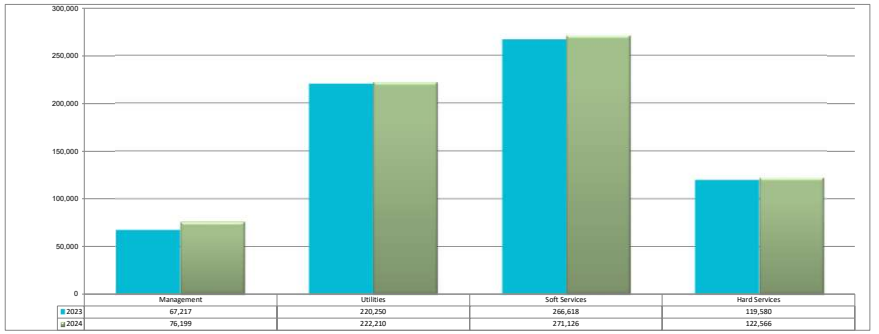
		24/03/2024							
		Schedule 1	Schedule 2	Schedule 3	Schedule 4	Schedule 5	Schedule 6	Total Expenditure	Percentage of
Category	Description	£	£	£	£	£	£	£	Total Expenditure
		All tenants	The Grange, Common Parts	South Wing only	Tenant demised electricity	Tenant demised gas	AELTC common parts		
1	Management	4,909	62,999	0	0	0	8,291	76,199	11%
2	Utilities	2,500	68,710	0	110,000	38,000	3,000	222,210	32%
3	Soft Services	102,100	44,718	1,788	0	0	122,520	271,126	39%
4	Hard Services	4,775	106,411	5,650	0	0	5,730	122,566	18%
		114,284	**282,838**	**7,438**	**110,000**	**38,000**	**139,541**	**692,101**	**100%**
	Total Area							**88,739 sq ft**	
	Total budgeted expenditure per sq ft							**£7.80**	

		24/03/2023							
		Schedule 1	Schedule 2	Schedule 3	Schedule 4	Schedule 5	Schedule 6	Total Expenditure	Percentage of
Category	Description	£	£	£	£	£	£	£	Total Expenditure
		All tenants	The Grange, Common Parts	South Wing only	Tenant demised electricity	Tenant demised gas	AELTC common parts		
1	Management	4,167	55,650	0	0	0	7400	67,217	10%
2	Utilities	2,500	66,750	0	110,000	38,000	3000	220,250	33%
3	Soft Services	95,738	50,995	5,000	0	0	114885	266,618	40%
4	Hard Services	4,650	102,500	6,850	0	0	5580	119,580	18%
		107,055	**275,895**	**11,850**	**110,000**	**38,000**	**130,865**	**673,665**	**100%**
	Total Area							**88,739 sq ft**	
	Total budgeted expenditure per sq ft							**£7.59**	

2022/23 Budget Breakdown per Cost Category



Budget Breakdown



72 Welbeck Street
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10 October 2022

Dear Tenants

Service Charge budget

Property: The Grange
For the year ending: 24/03/2024

We are appointed by your landlord as the managing agents for The Grange. As part of that instruction we are responsible for budgeting and administering the service charge for the property.

Please therefore find enclosed your budget in respect of the year ending 24/03/2024

Overview of the Budget:

	£	
Budget for the year	692,101	
	673,665	
Increase/(decrease)	18,436	2.74%

The service charge budget covers the general maintenance and site operational costs, we have included costs for the management of the site, M&E maintenance, internal/ external repairs, internal/ external cleaning, lift maintenance and repairs and contingency provision for repairs should these be required. Security is managed by All England Sports Club, with the apportioned amount included in the budget.

We trust that this service charge budget report provides you with a clear understanding of Gerald Eve's approach to managing the services of your property

However, following your review of the budget if you have any queries or require clarification on any points detailed herein please do not hesitate to contact me or one of the management team - details of which are included within the Management Team section of the report

Yours sincerely

Catherine Spooner-Price

Senior Surveyor

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London (West End & City) Birmingham Cardiff Glasgow Leeds Manchester Milton Keynes West Malling
Gerald Eve LLP is a limited liability partnership registered in England and Wales (registered number OC339470) and is regulated by RICS. The term partner is used to refer to a member of Gerald Eve LLP or an employee or consultant with equivalent standing and qualifications. A list of members and non-members who are designated as partners is open to inspection at our registered office; 72 Welbeck Street, London W1G 0AY and on our website.

Our Policies

Service Charge Management & Accounting Principles

Not for profit

The service charge accounts are managed for the benefit of all Tenants on a not-for-profit basis.

On account demands and reconciliation

At the year end, on-account income received and actual expenditure incurred are reconciled. Each Tenant's on-account contribution will be adjusted to reflect the due proportion of the actual expenditure incurred and balancing charges or credits are issued accordingly.

Apportionment

The service charge costs are apportioned in line with your lease. On-account service charges are demanded from all Tenants (and from the Landlord in relation to void units) throughout the year based on the budgeted expenditure.

Empty units and concessions granted to Tenants

Where appropriate, costs are apportioned on a daily basis and for the avoidance of doubt it is confirmed that the Landlord covers an appropriate proportion of the service charge expenditure in respect of vacant parts and any form of concessions agreed with tenants.

Where a tenant has a fixed charge contribution, the Landlord will be liable for the any shortfall related to the unit which is calculated on a daily basis for when the tenant was in occupation.

Banking

All service charge funds held by Gerald Eve are in a dedicated client account administered at property level.

Service procurement

Our internal approval process evaluates a service provider's operational potential, health & safety awareness, competence and compliancy, environmental policies and financial soundness.

VAT

The Landlord has elected to waive the exemption from Value Added Tax (VAT) on the building (also known as an Option to Tax).Therefore all service charge expenditure and service charge income is shown exclusive of VAT. VAT will be charged at the appropriate rate on all service charge payments demanded/invoiced by the

Core Principles

Our core principles in delivery of our contract management policy are:

- Adhere with the RICS Service Charge Code of Best Practice & Rules of Conduct
- Comply with all relevant health and safety ("H&S") legislation
- Commitment to an open and transparent procurement process designed to ensure that we obtain best value for money for our clients and their tenants/customers

Client : The Bank Of England.
Property : Priory Road.

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Detailed Budget Comparison - Schedule 1

Category		Expense Total Budget £ 25/03/23 - 24/03/24	Schedule 1 Total All tenants £	Schedule 2 Total The Grange, Common parts £	Schedule 3 Total South Wing, The Grange £	Schedule 4 Total Tenant demised electricity £	Schedule 5,Total Tenant demised gas £	Schedule 6,Total AELTC Common Parts £	Comments
1	**MANAGEMENT**								
	Management fees	45,450	2,250	40,500	0	0	0	2,700	This is the management fee for administering the service charge budget and surveyors time in connection with the day to day management of the property. Split Sch 1 5%, Sch 2 90% and 5% Sch 6.
	Independent accountant's fees	1,500	1,500	0	0	0	0	1,800	This covers the fees for the formal audit of the year end service charge accounts.
	Facilities Manager	0	0	13,000	0	0	0	2,400	All salaries and ancillary costs associated with employment of onsite staff including directly employed staff, building managers and caretakers. This cost will be normally charged by Gerald Eve and will include all national insurance and other taxes, pension contributions, mobile phone costs and administrative/payroll costs.
	Site accommodation (Telephone & Stationery)	1,500	0	1,500	0	0	0	0	Cost of the telephone line to the lift on-site and BMS line.
	Helpdesk	270	270		0	0	0	324	Cost for the 24/7 helpdesk with Elogs
	Health, Safety and Environmental works	8,288	789	7,499	0	0	0	947	**Schedule 1** : H&S audit inclusive of the car park and external areas £1125.00. Riskwise £452.00 + VAT. **Schedule 2:** Fire safety management services £1193.00 per annum. Fire door audit £812.00. Lightning protection inspection and roof safety guarding £1570.00. Water risk assessment £943.00. closed water system inspection £1064.00. Asbestos Management survey Eaton Group £1575.00 . £342.00 for maintenance of 2 fire hydrants.
	Signage	600	100	500	0	0	0	120	Allowance in relation to signage requirement
		76,199	**4,909**	**62,999**	**0**	**0**	**0**	**8,291**	
2	**UTILITIES**								
	Electricity	127,500	2,500	15,000	0	110,000	0	3,000	Tendered by BoE under OJEU
	Electricity procurement/consultancy	0	0	750	0	0	0	0	Cost for utilities consultants to review usage and costs. Total number of sub meters currently unknown, initial allowance for 8 sub-meters recharged annually.
	Gas	2,000	0	2,000	0	0	38,000	0	Tendered by BoE under OJEU
	Water and sewerage charges	0	0	50,960	0	0	0	0	Cost for the water supply to the Grange only.
		222,210	**2,500**	**68,710**		**110,000**	**38,000**	**3,000**	
3	**SOFT SERVICES**								
	Security guarding	86,500	86,500	0	0	0	0	103,800	Security contract to the estate cosisting of 2 x guards at 12hr shifts. A contingency of £3,000.00 has been allowed for in relation to call outs and unforseend security requirements
	Security systems	8,500	0	8,500	0	0	0	0	Security Alarm and access control contract with ADT
	Internal cleaning	24,148	0	22,360	1,788	0	0	0	Internal clean of the common parts at £20,120 per annum. Periodic cleaning to the toilets & carpets, £2,240.00. Cleaning to the rear staircase (south wing) £1,788.40
	External cleaning	1.500	1.500	0	0	0	0	1.800	Cost for an ad hoc external clean to the grounds
	Window cleaning	0	0	0	0	0	0	0	
	Hygiene services/toiletries	4,858	0	4,858	0	0	0	0	Hygiene services contract via Endersham at £858.00 per annum. Budget some of £4000.00 in relation to consumables
	Disposal / Waste management	8,000	0	8,000	0	0	0	0	Agreement with BPSt/a Paper round - 4 general waste bins and 3 mixed recycling, bins are collected twice a week (collected 2 of each)
	Pest Control	1,100	1,100	0	0	0	0	1,320	Annual Pest control contract in relation to the building and exterior area
	Seasonal decorations	1,000	0	1,000	0	0	0	0	Cost of providing seasonal decorations to the Grange
	Landscaping / Floral displays	0	0	0	0	0	0		
	External landscaping	3,000	3,000	0	0	0	0	3,600	Cost in relation to the landscaping contract to the exterior of the property £4,000.00. Budget figure of £4,000.00 in relation to tree reduction
	Drainage	10,000	10,000	0	0	0	0	12,000	CCTV survey and jetting of the drainage system to the estate. An allowance has been included for any unforeseen repairs
		271,126	**102,100**	**44,718**	**1,788**	**0**	**0**	**122,520**	
4	**HARD SERVICES**								
	M&E maintenance contract	29,511	750	28,761	0	0	0	900	
	M&E Repairs	22,000	0	22,000	0	0	0	0	Annual M&E Maintenance contract in relation to The Grange building £28,671.00. Cost in relation to maintaining the exterior lighting £1,500.00
	Lift maintenance contract	2,800	0	1,400	1,400	0	0	0	Cost in relation to eye bolt repairs £1,134.43. Fire alarm remedial repairs £4,830.00. Cost to clean and disinfect cold water tanks £2950.00. Budget figure of £13,000.00 in relation to toilet cistern works and ad hoc call outs. Cost in relation to the maintenance and servicing of the central core and south wing lift.
	Lift repairs	2,500	0	1,250	1,250	0	0	0	Cost for any unforeseen lift repairs.
	Internal repairs and maintenance	26,000	0	23,000	3,000	0	0	0	Contingency for internal repairs to the building and central core £8,000.00. Allowance of £3,000.00 in relation to the repairs to upper level south wing staircase. Budget sum of £15,000.00 in relation to the installation of window restrictors
	External repairs and maintenance	32,500	2,500	30,000	0	0	0	3,000	£5,000 budgeted for repair of pot holes in common car parking £25,000 budgeted for ad-hoc repairs to the external parts of The Grange. £4,000.00 in relation to a building condition survey
	Car park repairs and maintenance	1,525	1,525	0	0	0	0	1,830	Cost for site gritting, pedestrian clearance and mechanical snow clearance
		122,566	**4,775**	**106,411**	**5,650**	**0**	**0**	**5,730**	
		692,101	**114,284**	**282,838**	**7,438**	**110,000**	**38,000**	**139,541**	

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Client: The Bank Of England
Property: The Grange
Service Charge Report for the period 25/03/23 - 24/03/24

Management Team

Angela Duru
Partner
Angela is responsible for the performance and co-ordination of the day to day surveyor work on general property management matters, including service charge, insurance and leasing matters.

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Gareth Williams
Partner
Gareth is responsible for the overall financial performance and co-ordination of the day to day matters on this engagement.

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Catherine Spooner-Price
Senior Surveyor
Catherine is responsible for performing work on general property management matters, including service charge, insurance and leasing.

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Jade Malyon
Client Accountant
Jade is responsible for general accounting matters, in particular rent, insurance and administering the service charge.

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Jolanta Wisniewska
Regional Facilities Manager
Pauk has day to day responsibility for building facility maintenance and ensuring compliance with Health and Safety regulations
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Rob Hickey
Credit Controller
Rob is responsible credit control and the collection of all rent, service charge and adhoc charge arrears

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24 Hour Help Desk
+44 (0)800 140 4978

0
0

Service Charge Apportionments

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Property Name:	The Grange
Property Address:	Priory Road
Property Reference:	0
Total Floor Area (Sq.Ft.):	88,739
VAT elected:	Yes, All Expenditure is shown Net

Apportionments

Floor	Tenant	Floor Area	Schedule 1 All tenants	Schedule 2 The Grange, Common parts	Schedule 3 South Wing, The Grange	Schedule 4 Tenant demised electricity	Schedule 5 Tenant demised gas	Schedule 6 AELTC common parts	Schedule 1 All tenants	Schedule 2 The Grange, Common parts	Schedule 3 South Wing, The Grange	Schedule 4 Tenant demised electricity	Schedule 5 Tenant demised gas	Schedule 6 AELTC Common Parts	Total p.a	Total p/qtr
			%	%	%	%	%	%	£	£	£	£	£	£	£	£
Basement - South Wing	Vacant	429	0.96%	0.96%	2.06%	0.48%	1.17%	0.00%	£ 1,099.99	£ 2,722.34	£ 153.41	£ 531.78	£ 444.35	£ -	£ 4,951.88	£1,237.97
Grnd, Office & Studio - South Wing	Vacant	3686	8.27%	8.27%	17.72%	4.15%	10.05%	0.00%	£ 9,451.23	£ 23,390.56	£ 1,318.11	£ 4,569.13	£ 3,817.92	£ -	£ 42,546.95	£10,636.74
Grnd, Storage - South Wing	Vacant	1189	2.67%	2.67%	5.72%	1.34%	3.24%	0.00%	£ 3,048.70	£ 7,545.14	£ 425.18	£ 1,473.87	£ 1,231.55	£ -	£ 13,724.45	£3,431.11
1st & 2nd floor - South Wing	International Flavours and Fragrance (IFF) Ltd	7884	17.69%	17.69%	37.90%	8.88%	0.00%	0.00%	£ 20,215.28	£ 50,030.17	£ 2,819.30	£ 9,772.93	£ -	£ -	£ 82,837.68	£20,709.42
3rd floor - South Wing	Vacant	4107	9.21%	9.21%	19.74%	4.63%	11.19%	0.00%	£ 10,530.71	£ 26,062.14	£ 1,468.66	£ 5,091.00	£ 4,253.99	£ -	£ 47,406.49	£11,851.62
4th floor - South Wing	Brookes Architects Ltd	3506	7.87%	7.87%	16.85%	3.95%	9.56%	0.00%	£ 8,989.70	£ 22,248.32	£ 1,253.74	£ 4,346.00	£ 3,631.48	£ -	£ 40,469.24	£10,117.31
Ground floor - 4th floor, North Wing	ITF UK Ltd	23,770	53.33%	53.33%	0.00%	26.79%	64.79%	0.00%	£ 60,948.39	£ 150,839.32	£ -	£ 29,465.06	£ 24,620.71	£ -	£ 265,873.48	£66,468.37
Sports Ground, Pavillion & Sports Centre, Squash courts, Sheds	All England Lawn Tennis Ground Plc*	44,168	0.00%	0.00%	0.00%	49.77%	0.00%	100.00%	£ -	£ -	£ -	£ 54,750.22	£ -	£ 139,541.00	£ 194,291.22	£48,572.81
		88,739	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	£114,284.00	£282,838.00	£7,438.40	£110,000.00	£38,000.00	£139,541.00	£ 692,101.40	£ 173,025.35

Note 1: IFF do not utilise the gas